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The impact of tour quality and tourist satisfaction on tourist loyalty: The case of Chinese tourists in Korea

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This study examines the causal relationship between tourist expectations, tourist motivations, tour quality, tourist satisfaction, tourist complaints and tourist loyalty of Chinese tourists in the Republic of Korea using path analysis. It was found that tourist expectations have a negative effect on the perceived experiential quality of the tour, yet tourist motivation has a positive effect on the perceived tour quality. In turn, the perceived tour quality has a positive effect on tourist satisfaction. Similarly there is an inverse relationship between satisfaction and tourist complaints, and a positive relationship exists between satisfaction and loyalty. Equally, the higher is the number of complaints, the lower are the loyalty levels. These results will provide potential guidelines for inbound tour agents who plan to attract Chinese tourists to Korea and enable them to formulate appropriate strategies. This study also seeks to contribute to conceptual and policy formation by understanding the determinants of tourist satisfaction and loyalty.
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1. Introduction

China is one of the largest potential tourism markets for the Republic of Korea (hereafter referred to as Korea). The growth of China's outbound tourism has become the focus of worldwide attention from researchers and practitioners (Cai, Li, & Knutson, 2007). Outbound travel from China is expected to reach an approximate 100 million individuals by 2020 (World Tourism Organization, 2003). Li, Harrill, Uysal, Burnett, and Zhan (2010) attempted to empirically estimate the size of this market, using a demand-based incidental target-market approach; the current Chinese (Mainland) outbound travel market was reported to comprise approximately 22 million city residents. In 2007, 41 million Chinese participated in outbound travel (China National Tourism Administration, 2008), and China has been identified as one of the two most important emerging outbound tourism markets in the world (WTTC, 2006). There is general consensus that the growth of China's economy is leading to a rapid increase in international travel by a burgeoning middle class. In 2003, 539,466 Chinese tourists entered Korea. This represented 10% of the total number of foreign entrants and corresponded to an overall increase of 11.9%. The percentage of Chinese tourists among total inbound tourists to Korea has increased more than nine times since 1990 (Kim & Prideaux, 2005). On the other hand, the above number of Chinese entrants equaled just 3.3% of the total tourists from China. On the whole, this represents a minor figure in the domestic entry. The consumption pattern of the Chinese is undergoing a transition with increases in income and leisure time, resulting from the high economic growth rate over the past eight or more years.

Despite the enormous market potential of Chinese outbound travel, relatively little research has been conducted thus far on the perceptions of Chinese outbound tourists. Some recent studies have focused on Chinese outbound tourists' attitudes and behaviors. For example, Sparks and Pan (2009) attempted to determine how attitudes, constraints, influences, and information sources are related to the intentions of potential Chinese tourists to travel outside their homeland. Interest in researching outbound Chinese tourists has also grown in recent years (Guo, Kim, & Timothy, 2007). While the Asian region has emerged as a major tourist hub in recent years, studies regarding Asian travel motivations have not been conducted or referenced at nearly the level of studies addressing European and US travel motives. As most of the studies cited were conducted in Australia, Europe, or the US, there remains a paucity of empirical findings associated with Asian regions. Thus, given the importance of study on Chinese tourists outbound to Korea, it is important to devise a tourist satisfaction model and to plan realistic strategies to engender tourist satisfaction. Until now, only a few

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does not necessarily always exist due to consumer indifference, the availability of competitive substitutes, and low switching costs (Solomon, 2002). The Korean government should differentiate tour services compared with other countries in order to encourage Chinese tourists to revisit Korea. Because customer satisfaction has a notable impact on repeat visits, customer loyalty is actually required if Korea is to remain one of the preferred travel destinations for Chinese tourists.

7. Conclusions and implications

As the Korean inbound market is dominated by Japanese visitors, there is an urgent necessity for the Korean tourism industry to look beyond Japan to increase visitor arrivals from Asia. Among several groups of tourists visiting Korea, this study evaluated the motivations and satisfaction of Chinese tourists in Korea. An understanding of the processes that determine Chinese tourists' destination choices are important for Korean government, Korean tourism organization, and tourism operators as competition for tourist numbers and dollars increases. Using a path analysis technique, this study evaluated the causal relationship among the expectations and motivations of Chinese tourists in Korea, tour quality, tourist satisfaction, tourist complaints, and loyalty. Attracting tourists to revisit and/or recommend the destination to others is critically important for the success of destination tourism development. The Korean tourism industry should be developed further to differentiate its range of experiences and services according to different national cultures (Kim & Prideaux, 2005). In order to promote the loyalty and satisfaction of Chinese tourists, Korean travel marketers should principally focus both on increasing tourist motivations and fostering the tour quality while attempting to avoid excessive tourists' expectations in Korea. A thorough understanding of tourist expectations and motivations will contribute to improvements in tour quality and tourist satisfaction reducing tourist complaints.

An increase in tourist motivations and quality would generally induce increases in marketing and service costs. The results of this study demonstrate that, interestingly, the quality in practice is of little use and its induced cost is not wasteful. The results of this study might generate new insights as to tourists' satisfaction with their tour experiences; tourism managers could be enabled to develop more effective marketing strategies and service delivery to increase tourist motivations and actual quality.

The domestic travel agents should provide promotional activities to make Chinese tourists more interested in and motivated from specific traits of tours in Korea by emphasizing Korean culture, society, history, and tradition. Korean travel agents should exercise caution not to create expectations in tours in Korea, and should provide "natural" characteristics of tours in Korea. They should focus on increasing motivations of potential tourists by promoting the particular attractiveness of Korean tours. This includes carrying out a broad variety of activities to attract tourists, such as active and various marketing campaigns, developing specialized tourist commodities, constructing close relationships among the federal government, local government and business, and maintaining an effective evaluation system. It is necessary to favorably promote Korea as a tourism destination through TV or radio. There exists a substantial opportunity to boost yield during periods of low demand by offering special promotional travel packages on the Chinese market.

This study shows that tour quality affects tourist satisfaction, which indirectly influences tourist loyalty by lowering tourist complaints. This indicates the importance of tour quality in Korea for Chinese outbound tourists. In particular, Seoul, Korea's modern and cosmopolitan capital, will benefit if the service quality of its tourism industry remains in high regard. The results of this study should constitute an important instrument for domestic travel agents who plan to attract Chinese tourists to Korea to examine the present state critically and to establish plans for the future.

The key destination attributes affecting tour quality that are likely to be attractive to outbound Chinese tourists include safety, beautiful scenery, well-equipped tourism facilities, different cultural/historical resources, and good weather (Kim, Guo, & Agrusa, 2005). Perceptions of these key attributes will greatly influence the decision as to whether to visit Korea. For example, it appears that Chinese tourists are highly safety conscious (Sparks & Pan, 2009), and they are reluctant to take risks in travelling to places perceived as dangerous. Hence, safety assurance is an important tour quality to be recommended when marketing to Chinese tourists. Further, younger Chinese tend to be more autonomous during their travel, possibly because they have a great deal of leisure time to explore the destination. Further, Chinese tourists evidenced a marked tendency toward leisure facilities and gaming (Kim & Prideaux, 2005). The Korean National Tourist Organization (KNTO) should concentrate its marketing efforts on casino gambling and amusement theme parks. It appears evident that Chinese tourists travel behaviors and lifestyle are changing, and this is especially true for the younger generation of Chinese. Chinese tourists are generally price-conscious and would be attracted by appropriate promotional activities (e.g. discounting week) (Choi et al., 2008). In order to induce them to repurchase during their next visits and to foster brand loyalty, cash coupons can be issued exclusively to Chinese tourists. Retailers can construct a simplified-Chinese version of their websites in order to provide more timely information regarding promotional activities and products to Chinese tourists.

Once tourists perceive their tour experiences as valuable, satisfaction levels will rise, thus reducing tourist complaints. The satisfaction of Chinese tourists can be improved by the quality of beautiful scenery, cultural and historical heritage sites, diverse souvenir shops, and native products. This is important, since a dynamic and sustainable tourism industry will contribute significantly to Korea's economic and social well-being. The development of the tourism satisfaction model is of profound importance in regard to travel agent management or attracting foreigners to Korea. As is generally known, the most popular countries for tourism include France, Spain, and the USA. The cases of other countries can teach us important lessons, preparing Korea to enter the tourism industry as Asia's next 'tourist hub'. Korea must be faithful to principles, such as actively and openly creating new ways to attract tourists, continue systematic political efforts, and continue innovation via systematic evaluation and feedback. There is also a need to consider the following factors: design and training of public officials including police, health workers, and others who have contact with visitors; the development and introduction of new tourist products and services; service standards of hotels, shops and restaurants; operation of destination infrastructures and public services; and designs of education programs.

This study has several limitations and future subjects of study and tasks can overcome it. First, this study is limited in its general aspects. The questionnaire was administered to groups of tourists rather than to individual tourists and only to Chinese tourists from the local Beijing area, rather than the entire country. Therefore, successive studies should be conducted on the subject by district, race, and FIT by the north part based on Shenyang and the central part based on Shanghai. They should include the major ethnic races in China and the 55 minority races by generation (youth, middle age, old age).

Second, this study conducts analysis within the limitations of observing satisfaction after the completion of a Korean tour. It is,

therefore, necessary to evaluate the effects of tourists' expectations and desires prior to the beginning of a tour. Third, as a limitation of questionnaire survey, there must be a measurement against error in assessing the respondent's honesty.

This study may be the first attempt at a Study of the Travel Satisfaction Model: a Structural Analysis for Chinese Tourists to Korea. Therefore, future studies must supplement the survey methodology and enlarge the scope of the survey subject, enabling its practical application, as well as more in-depth theoretical research and the development of new and better models. As tourists from different countries evidence different preferences for significant variables accounting for tourists' overall satisfaction level (Hui, Wan, & Ho, 2007), any attempts to generalize the study results to tourists from other countries with different cultural backgrounds should be conducted with great caution. The study results can help to explain tourist satisfaction, complaints, and loyalty using tour quality, tourist expectations, and motivations among Asian tourists from Asian countries with similar tourist expectations for travel attributes such as 'overall convenience', 'accommodation and food', 'culture', and 'climate and image'. The differences in tourist expectations and motivations with their effects on tour quality, tourist satisfaction, complaints, and loyalty should be assessed for different countries in future studies.

Appendix. Supplementary data

Supplementary data associated with this article can be found in the online version at, doi:10.1016/j.tourman.2010.09.016.

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